

Activity 22 Instruction Manual

Activity 22 | Topic 03 | C013 | Version v1.0

Purpose

Procurement transfers risk - but only if you choose the right contract type. You will use GenAI to draft procurement documents and to reason about where risk actually sits in each contract type.

Files used

- activity-guide.md and activity-guide.pdf - brief and source instructions
- prompts.pdf - reusable prompt and verification checklist
- mock-data.xlsx - safe fictional project data for practice

Expected output

A procurement strategy with a justified contract type and a drafted RFP outline.

Before you begin

1. Form the required group and assign one person to capture evidence.
2. Open mock-data.xlsx and review the title, note and column headings.
3. Open prompts.pdf beside your chosen GenAI tool. Do not upload confidential workplace data.

Detailed procedure

1. In your group, identify something your project must procure externally - a vendor, consultant, software or equipment.
2. Decide which bid document fits: RFI when you need information on what sellers can provide; RFP when the solution is not obvious and you need sellers to propose one; RFQ when you know exactly what you want and need a price.
3. Prompt GenAI: 'Draft an outline [RFI/RFP/RFQ] for [what you are procuring]. Include the scope of work, deliverables, evaluation criteria with weightings, and the submission requirements.'
4. Now the important question. Prompt: 'Compare Firm Fixed Price, Cost Plus Fixed Fee and Time and Materials for this procurement. For each, state who carries the risk of a cost overrun and under what circumstances it is the right choice.'
5. Verify the risk logic yourself: fixed price puts overrun risk on the SELLER and suits well-defined scope; cost reimbursable puts it on the BUYER and suits changing work; T&M suits an undefined statement of work and staff augmentation.
6. Choose your contract type and write two sentences justifying it in terms of who should carry the risk given how well you know the scope.
7. Prompt GenAI to list the contract components you must include: description of work, delivery schedule, responsibilities of both parties, price and payment terms, termination provisions, guarantees and warranties, intellectual property, and security/confidentiality/data privacy.
8. Add a claims and dispute clause. Prompt: 'What should the claims process and alternative dispute resolution clause say?' Confirm you understand a claim arises when buyer and seller cannot agree that a change occurred.
9. Share your contract type choice and your risk justification with the class.

Use the supplied mock data

Copy only the rows needed for the current step and tell the model the data is fictional. If the model changes an identifier or number, reject the change and rerun with an explicit preserve-values instruction.

Quality control

- You have the right bid document type, a contract type justified by who should carry scope risk, and a component checklist including IP, data privacy and dispute resolution.
- Compare the first AI draft with the final human-corrected artifact and retain both as evidence.
- Label assumptions, decisions, owners and dates so another project manager can audit the result.

Troubleshooting

If the response is generic, add the project objective, constraints, audience and required columns. If arithmetic is inconsistent, request formulas and substitutions, then calculate independently. If a source cannot be opened, remove the claim or replace it with verified evidence.

Submission evidence

Submit the completed project artifact, the final prompt, a short critique of the AI output, and any screenshot or exported file required by the activity.